

GLOBAL NORTH SHOULD CURB EMISSIONS

India should champion a New Delhi Accord, like the Montreal Protocol, to ensure that developed nations are held accountable for their disproportionate share of carbon emissions

AS WE UNDERSTAND it today, the concept of sustainability began to take shape during the 1970s and 1980s. The first major United Nations conference addressing environmental concerns was held in 1972. After various accords, protocols, and COP summits, the term “ESG” (Environmental, Social, and Governance) was officially coined in 2004 by the United Nations Global Compact in its Who Cares Wins report.

Since then, the ESG landscape has evolved significantly—governments, the private sector, and investment firms have adopted various ESG practices—redefining energy and sustainability within broader business frameworks.

With the concept of ESG evolving from the Western world, it has been noted that ESG definitions were often coined to suit Western interests without taking into account the challenges of implementation and relevance in developing countries. While ESG aims to promote sustainability and responsible business practices, its implementation in emerging markets often comes with significant social and economic costs. Applying the same standards to both developed and emerging

markets without contextual adjustments can often be counterproductive.

Furthermore, in the developed world, the definition of what is acceptable as an ESG practice often changes. This has been seen recently in the case of investments in the defence sector. Sectors like defence—once on the negative screening list—are now being rebranded under the ESG umbrella, due to the current geopolitical and energy demands.

A similar trend is seen in the case of nuclear energy. The surge in demand from tech giants who are investing heavily in nuclear energy to power their data centres has also led to a rethink on investments in nuclear energy from an ESG standpoint.

This leads us to the importance of establishing our own standards for ESG, tailored to our unique context. In the Indian context, the evolution of ESG norms reflects a growing recognition of the importance of sustainable and responsible business practices. India is charting its path by integrating ESG principles into its sustainable development framework. Our country has recognised the differences between ESG, sustainability, and climate change, and is laying the foundation for a devel-



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